

ELITE FOUR CAPITAL

Trading Political Probabilities

Turning election odds into disciplined, fee- and tax-aware trades

14¢

Ossoff nomination

7¢

Ossoff presidency

~52%

implied 'if nominated, wins'

What we actually trade

A prediction market is a contract that pays \$1 if something happens, \$0 if it doesn't.

So the price IS the probability.

A 14¢ price = the market thinks ~14% chance.

Buy at 14¢; if it happens it pays \$1 — about 7×. If not, \$0.



Three markets on one politician

NOMINATION

14¢

Will he be the Democrats' pick?

Nov 2028

PRESIDENCY

7¢

Will he win the White House?

Nov 2028

SENATE

~85¢

Will he keep his Georgia seat?

Nov 2026 · thin

The prices between these have to obey rules — and sometimes they don't. That's the opening.

Opportunity 1 — the impossible price

To win the White House he must first win the nomination.

So 'wins presidency' can NEVER beat 'wins nomination.'

If presidency ever prices above nomination, it's free money — buy the cheap one, sell the rich one.

A stale feed briefly showed exactly this.

We now watch the rule 24/7 — it doubles as a data-error alarm.

THE RULE

Presidency



Nomination

7¢ ≤ 14¢ ✓ today

Opportunity 2 — the ~52% that looks too high

Divide the two prices and the market is quietly saying:

~52%

chance he wins the general IF he's the nominee

Debatable for a first-term senator.

The Wedge: back him to be nominated, bet against winning it all.

(If you think that number is too LOW, do the opposite — buy the presidency.)

The Wedge pays off in one world — nominated but loses. Market prices that at ~5¢; our model says 6–8¢. It's hedged — it doesn't need him to win.

Opportunity 3 — same bet, two prices

The identical contract trades on two exchanges at different prices — Kalshi usually higher.

POLYMARKET

12¢

cheaper — we buy

KALSHI

15¢

richer

Why? Kalshi lists each candidate separately, summing to ~105% (a 5-pt house margin). Polymarket links the field to ~100%. The gap is biggest on longshots — and perishable: Ossoff's reversed intraday.

The fees — small, but they compound

Both charge: price + a taker fee. Kalshi's coefficient is 0.07, Polymarket's 0.04 — nearly double. Makers (resting limit orders) pay zero.

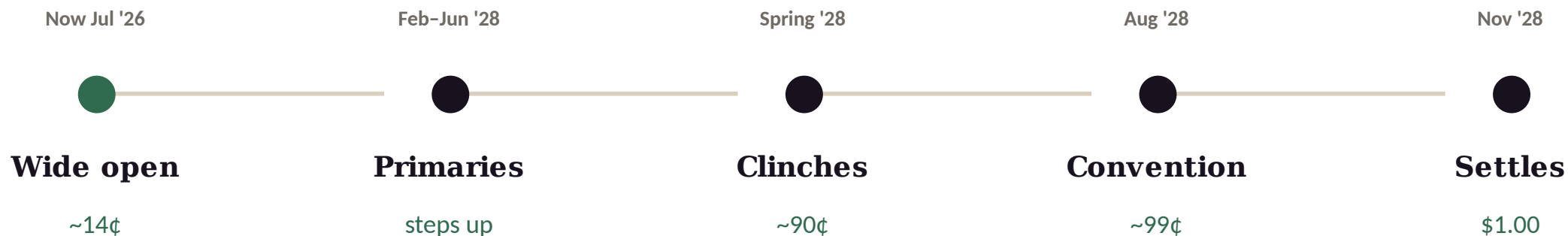
Fee as % of your stake — worst on cheap longshots:

Contract price	Kalshi fee	Polymarket fee
3¢ (deep longshot)	6.8%	3.9%
14¢ (Ossoff)	6.0%	3.4%
50¢ (toss-up)	3.5%	2.0%
90¢ (favorite)	0.7%	0.4%

On a cheap longshot you can pay ~6% in fees alone on Kalshi — before the overround.

Timing — it's decided long before it pays

The nomination settles in Nov 2028, but the real decision is the primary calendar. 'Yes' climbs to ~99¢ as it becomes clear — sell into that, don't wait.



Play it: ride the run through the primaries, sell near 99¢ at the convention, recycle into the general-election markets. The presidency bet does NOT converge early — it lives to Election Night.

Where to trade — the all-in cost

Price + fee = all-in cost. On candidate longshots Polymarket usually wins — until it overshoots.

Earlier today	Poly 12.4¢ (8.0×	Kalshi 15.9¢ (6.3×	Polymarket — by 28%
After Ossoff rallied	Poly 14.9¢	Kalshi 14.8¢	Kalshi — Poly overshoot

The optimizer flips venues the instant the gap flips. Kalshi also carries a 'safety tax' — you pay more, but get a regulated payout and cleaner records.

The catch — who holds your money

KALSHI

US • CFTC-regulated

YOU BET VS

Clearinghouse guarantees payout

YOUR CASH

Segregated USD at JPMorgan & BNY

SHUTDOWN

Lower shutdown risk

POLYMARKET

Offshore + new US entity

YOU BET VS

Smart contract + oracle (UMA)

YOUR CASH

USDC you self-custody, no insurance

SHUTDOWN

Mixed: geo-block + state pushback

Also: all three bets rise and fall on one thing — Ossoff's standing. It's one factor, not three. Cap it. Neither venue is FDIC/SIPC insured.

Taxes — pick the right bucket

No IRS guidance yet. Four possible treatments; our position: default to capital gains, earn it by trading, avoid the poles.

Treatment	Rate feel	Verdict
Capital gains (§1221)	LT 0/15/20% if held >1yr	Our default
Ordinary income	10–37%	Conservative
Section 1256 (60/40)	~27% blended	Aggressive
Gambling (§165(d))	Ordinary + 90% loss cap	Avoid

Favor Kalshi for clean records; trade the secondary market to support capital treatment; harvest losses (no wash-sale); keep exam-grade records. Not tax advice.

The takeaway

We don't bet on politicians. We price probabilities and trade the errors.

- A logical rule the market must obey — our free-money alarm.
- A ~52% figure that looks off — the hedged 'wedge.'
- The same bet cheaper on one venue — after fees and the overround.
- Perishable edges, harvested early — venue, fees, tax & risk all priced in.